

Investment thesis 1: AI is a hardware boom, and Asia builds the hardware

Our three markets own the chokepoints



Taiwan: makes the chips

- High-performance computing (incl. AI) was 58% of TSMC revenue in 2025
- TSMC is >40% of the TAIEX: our largest index is a chip index

~70%
TSMC share of global foundry revenue (Q1 2026)



Korea: makes the memory

- Every AI accelerator needs high-bandwidth memory (HBM)
- Samsung + SK hynix ≈ 48% of KOSPI market cap (verify)

83%
SK hynix (50%) + Samsung (33%) share of HBM revenue (Q2 2026)



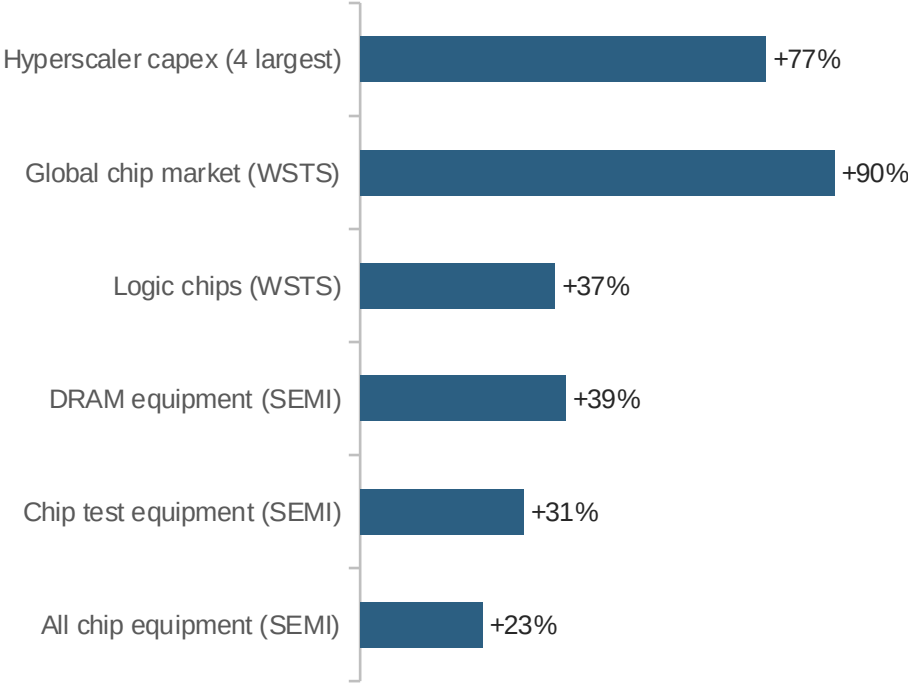
Japan: makes the tools

- Tokyo Electron ~90% of coater/developers; #3 equipment maker
- Advantest + Tokyo Electron ≈ 20% of the Nikkei 225 (Jul 2026)

~55%
Advantest share of chip test equipment

2026: spending is surging

2026 growth vs 2025 (forecast / guidance)



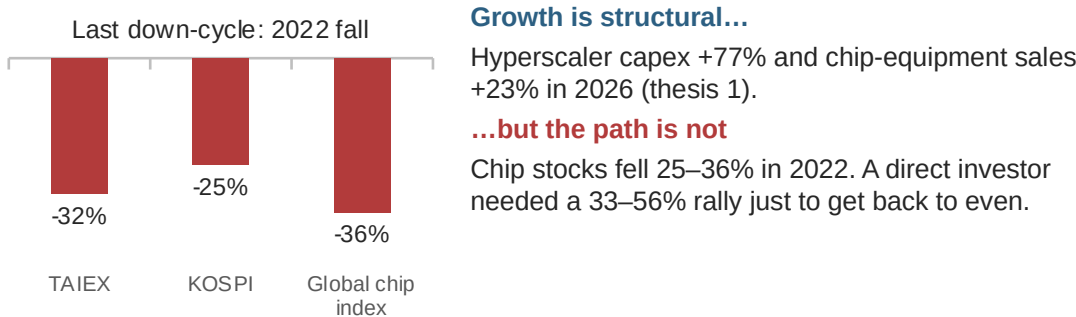
Sources: Counterpoint (foundry Q1 2026; HBM Q2 2026); TSMC 2025 results; Trading Economics / Focus Taiwan (TSMC weight); BIT Research (KOSPI weight); company reports and SEMI (TEL, Advantest); Nikkei index summary 17 Jul 2026; company guidance after Q1 2026 (capex); WSTS Spring 2026; SEMI mid-year forecast 14 Jul 2026. Full list in appendix.

We buy the picks and shovels: whichever AI model wins, it needs Taiwan's chips, Korea's memory and Japan's tools.

Investment thesis 2: Own the AI-hardware theme through a protected autocall

Economic aspect: why this theme needs protection

Structural growth, but a violent and concentrated path



- 1** **~2x** **The 2026 boom is priced in**
KOSPI roughly doubled in 2026 and has already had two violent one-day crashes (verify on Bloomberg).
- 2** **>40%** **Returns hinge on a few names**
TSMC is >40% of the TAIEX; Advantest grew past the Nikkei's 10% weight cap. One stock can move the index.
- 3** **¥20trn** **Reforms support a recovery to 100%**
Record Japanese buybacks (~¥20trn FY2025 forecast) and Korea's Value-up programme help the basket get back to its start.

Finance aspect: why an autocall with protection

Today's rates pay for the protection; Asian volatility pays for the coupon

Where the client's 100% goes (fair value, % of notional)



■ Protected principal: 89.9% ■ Coupons (net of autocall): 7.6% ■ Natixis hedging & margin: 2.4%

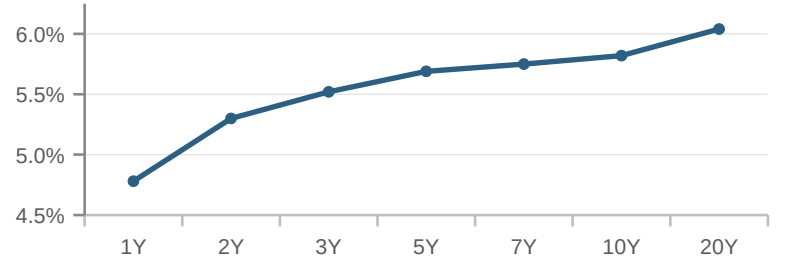
- 1** **75.8%** **High USD rates make protection cheap**
At 5.69% 5Y funding, USD 100 at year 5 costs only USD 75.8 today, and early calls make it cheaper still (89.9% in our note).
- 2** **21%** **Volatility funds the coupon, not losses**
Higher vol means more chances to touch 100%: fair coupon 7.1% rising to 7.5% if vol is 3pts higher.
- 3** **82%** **The autocall only needs a recovery**
Called in 82% of paths (51% at year 1); memory pays missed coupons later. Result: 6.75% p.a. and 0% capital loss.

Sources: TWSE, Korea Times, Bloomberg/BNN (2022); BIT Research (KOSPI 2026, single source); Trading Economics, Nikkei Asia (index weights); Asset Management One (buybacks); case funding grid; team Monte Carlo (pricing/scenario2_autocall_mc.py). Full list in appendix.

Investment thesis 2: Traditional strategies fall short; a protected autocall fits 2026

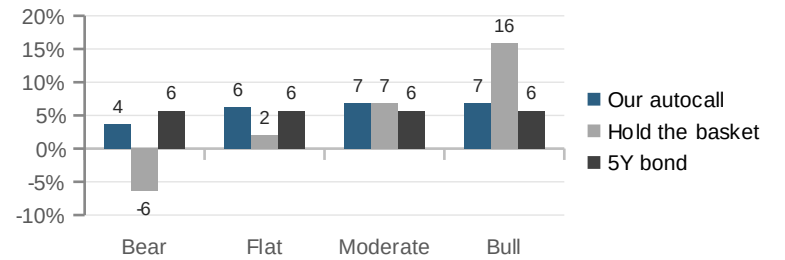
A volatile chip boom plus high USD rates: the conditions where an autocall beats bonds, stocks and plain protected notes

High USD rates make protection cheap



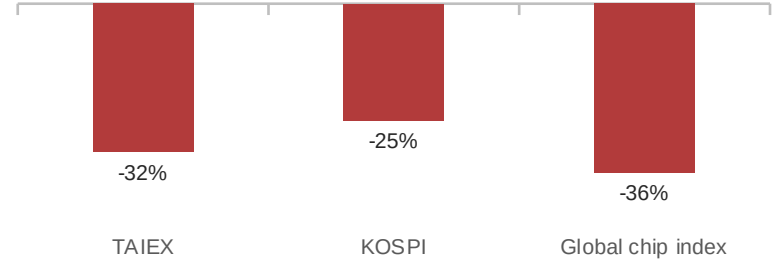
Case funding grid: 5Y at 5.69%, so USD 100 repaid at year 5 costs only USD 75.8 today. If rates fall, protection gets dearer.

The autocall wins in most markets



Mean return % p.a. by type of 5-year market (team simulation, equities +4% p.a.). Ties the stocks in moderate markets, beats them in bear and flat ones.

Volatility demands protection



2022 down-cycle: chip markets fell 25–36% in a year. In 2026 KOSPI roughly doubled, then had two violent one-day crashes (verify).

Bonds, stocks and plain protection fall short

Strategy	Mean	Median	Loss risk
Our protected autocall	5.4%	6.8%	0%
5Y USD bond	5.7%	5.7%	0%
Hold the basket	2.3%	1.9%	42%
Plain protected note	3.7%	0.0%	0%

The bond is steady but gives no AI exposure; the stocks lose money in 42% of paths; a plain protected note's median outcome is 0%.

Implications

- 1

Lock in protection now: High rates fund 100% capital protection; that window narrows as rates fall
- 2

Volatility becomes income: It raises the chance of touching 100%: fair coupon 7.1%, 7.5% if vol rises 3pts
- 3

Pays without a rally: 6.2% p.a. vs 2.0% for the stocks when the basket goes sideways
- 4

Early exit built in: 51% called at year 1 and 82% within 5 years: capital recycled, missed coupons caught up
- 5

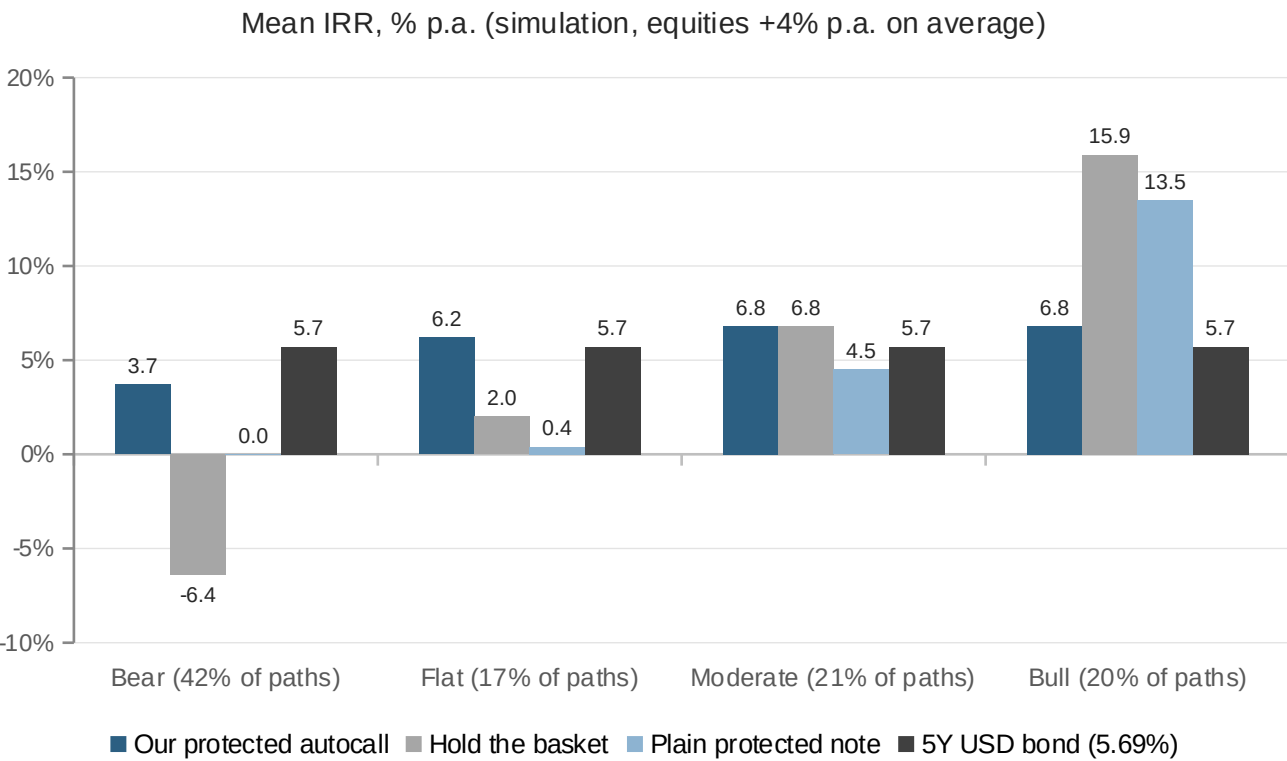
Proven in Asia: Taiwan structured-note issuance +81% in 2025; snowball autocalls the favourite payoff (SRP)

Result: 6.75% a year whenever the basket is back at its start, 100% of capital at maturity, money back in ~2.1 years on average.

Sources: case funding grid; TWSE, Korea Times, Bloomberg/BNN (2022); BIT Research (KOSPI 2026, single source); StructuredRetailProducts.com; team Monte Carlo (pricing/scenario2_vs_traditional.py, scenario2_autocall_mc.py).

Thesis 2 evidence: the protected autocall beats the usual ways to own this theme

Average annual return by type of market (5 years)



Same 100,000 paths, summary

Strategy	Mean	Median	Loss risk	Worst 5%
Our protected autocall	5.4%	6.8%	0%	0.0%
Hold the basket	2.3%	1.9%	42%	-12.4%
Plain protected note	3.7%	0.0%	0%	0.0%
5Y USD bond (5.69%)	5.7%	5.7%	0%	5.7%

Why it works

- Pays in sideways markets: 6.2% vs 2.0% for the stocks when the basket goes nowhere
- Volatility raises the chance of touching 100%, so it funds the coupon instead of hurting the family
- Market evidence: Taiwan structured-note issuance +81% in 2025, snowball autocalls the favourite payoff (SRP)
- Honest caveat: a 5Y bond earns more in bear markets, but gives no AI exposure

Our Monte Carlo (pricing/scenario2_vs_traditional.py): TAIEX 40% / KOSPI 200 30% / Nikkei 225 30%, real-world equity drift 4% p.a.; protected note participation 101%. Market regime = basket's own 5Y annualised total return. Early-called notes are not assumed to be reinvested. SRP = StructuredRetailProducts.com.

Best way to own the theme: equals or beats the stocks in 3 of 4 markets, beats a plain protected note in 3 of 4, and never loses capital.

Appendix: sources for the investment thesis

Fact used	Source
TSMC ~70–73% of global foundry revenue (Q1 2026); HPC 58% of 2025 revenue	Counterpoint Research via press; TSMC results (verify in TSMC Q-reports)
TSMC >40% of TAIEX market value (2026)	Trading Economics (28 Jul 2026); Focus Taiwan (May 2026)
HBM revenue share Q2 2026: SK hynix 50%, Samsung 33%, Micron 18%	Counterpoint Research, Global DRAM and HBM Market Share (quarterly)
Advantest ~55–58% of chip test equipment; TEL ~90% of coater/developers	Industry research summaries; verify in TEL and Advantest annual reports
Advantest 12.2% / TEL ~9–10% of Nikkei 225; weight cap from 1 Oct 2026	Nikkei Asia announcement; Nikkei index summary (17 Jul 2026)
Hyperscaler capex ~USD 725bn in 2026, +77% y/y	Company guidance after Q1 2026 earnings, as reported by AI Weekly / Yahoo Finance
Chip market ~USD 1.5trn in 2026 (+90%); logic +37%	WSTS Spring 2026 forecast (2 Jun 2026), wsts.org
Equipment USD 165.9bn (+23.2%); DRAM equip. +39%; test +31%	SEMI mid-year forecast (14 Jul 2026), semi.org
2022: TAIEX –31.6% peak to trough; KOSPI –24.9%; SOX –36%	TWSE 2022 Market Highlights; Korea Times / Yonhap; Bloomberg via BNN
KOSPI ~+100% YTD, above 9,000 (18 Jun 2026); Samsung + SK hynix ~48% of market cap	BIT Research, 'The KOSPI supercycle' (single source: verify on Bloomberg)
Japan buybacks ¥18.7trn FY2024, ~¥20trn forecast FY2025; P/B<1 share ~50% → 44%	Asset Management One via portfolio institutional; investment-manager commentary
Korea Value-Up Index beat KOSPI 200 by >30% (late 2024 – 27 Feb 2026)	AllianceBernstein, 'South Korea's rising governance tide'
Taiwan structured notes 2025: ~75,900 products, +81%; snowball autocalls favoured	StructuredRetailProducts.com, Taiwan Q4 2025 review
Strategy comparison, coupon pricing, call probabilities	Team Monte Carlo: pricing/scenario2_vs_traditional.py, scenario2_autocall_mc.py

Several figures are forecasts or third-party estimates; numbers marked 'verify' come from a single secondary source. Full URLs: [deck/thesis_sources.md](#).